



CHAPTER 74.

An Act to provide for the repair of buildings used for purposes essential to the welfare of the civil population, and the reinstatement of the plant of undertakings carried on for such purposes, where the buildings or plant are damaged by war.
[1st September 1939.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

- 1.—(1) Where the appropriate Minister is satisfied on the representations of a local authority or otherwise—
- Loans for
repairs to
buildings.
- (a) that any building used for purposes which, in the opinion of the appropriate Minister, are essential to the welfare of the civil population has become wholly or partly incapable of use for those purposes by reason of war damage; and
 - (b) that the building can be rendered fit to be used for those purposes (hereafter in this section referred to as "the essential purposes") at a reasonable cost; and
 - (c) that lack of buildings available for the said purposes makes it essential that the building should be rendered so fit;

the following provisions of this section shall have effect :

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Provided that nothing in this section shall apply to a building used solely for housing purposes.

(2) Where a local authority is an owner or occupier of the building (whether or not some other person is an owner or occupier thereof)—

(a) the appropriate Minister may, with the approval of the Treasury, lend to that authority such money as appears to him to be necessary for carrying out the works which in his opinion will render the building fit to be used for the essential purposes;

(b) if the appropriate Minister considers that it is essential for the welfare of the civil population that certain works should be carried out forthwith, he may—

(i) by notice require the said authority, or in special circumstances the housing authority in whose area the building is situated, to carry out those works; and

(ii) with the approval of the Treasury, lend to the authority so required such money as in his opinion is necessary to enable the authority to comply with the requirement.

(3) Where some person other than a local authority is an owner or occupier of the building (whether or not a local authority is an owner or occupier thereof)—

(a) the appropriate Minister (with the approval of the Treasury) or the housing authority in whose area the building is situated, may lend to that person such money as appears to that Minister to be necessary for carrying out the works which in the opinion of that Minister will render the building fit to be used for the essential purposes; and

(b) where such money is lent to that person by that housing authority, the appropriate Minister may, with the approval of the Treasury, lend an equivalent amount to that authority:

Provided that no loan shall be made to any person under paragraph (a) of this subsection unless the appropriate Minister or the housing authority, as the case

may be, is satisfied that that person is willing, but unable without financial assistance, to carry out the said works.

(4) Where—

- (a) the building is a building to which this subsection applies and no local authority is an owner or occupier thereof; and
- (b) the appropriate Minister considers that it is essential for the welfare of the civil population that certain works should be carried out forthwith; and
- (c) any person being an owner or occupier of the building is willing for those works to be carried out but is unable to carry them out without financial assistance;

then—

- (i) the appropriate Minister may by notice require the housing authority in whose area the building is situated either to carry out the said works themselves or to lend to the person so willing such money as appears to that Minister to be necessary for carrying out those works;
- (ii) the appropriate Minister may, with the approval of the Treasury, lend to the said housing authority any money required by the authority for the purpose of complying with the said notice;
- (iii) where the works are carried out by the housing authority, the provisions of subsections (3), (4), (5) and (6) of section ten of the Housing Act, 1936 (which relate to the recovery of expenses incurred by an authority under that section) shall have effect as if references to that section included references to this subsection, and as if references to a house included references to a building :

26 Geo. 5, &
1 Edw. 8.
c. 51.

Provided that no demand for expenses incurred in carrying out the said works shall be made under subsection (3) of the said section ten until the end of the period of the present emergency.

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(5) The last foregoing subsection applies to the following buildings, namely—

- (a) buildings used as hospitals or first-aid posts or otherwise for civil defence purposes;
- (b) buildings used as schools or other educational establishments; and
- (c) buildings of any other class to which the Minister of Health may by order declare that the said subsection applies.

(6) Any order made by the Minister of Health as aforesaid may be varied or revoked by a subsequent order made by him.

Loans for
reinstatement of
plant.

2. Where the appropriate Minister is satisfied, on the representations of a local authority or otherwise—

- (a) that any undertaking, carried on wholly or partly for purposes which, in the opinion of the appropriate Minister, are essential to the welfare of the civil population, has become wholly or partly incapable of being carried on for those purposes by reason of the occurrence of war damage to any plant used for the purposes of the undertaking; and
- (b) that the plant can be repaired or replaced at a reasonable cost; and
- (c) that lack of undertakings carried on for the said purposes makes it essential that the plant should be repaired or replaced; and
- (d) in a case where the undertaking is being carried on by some person other than a local authority, that that person is willing, but unable without financial assistance, to repair the plant;

the appropriate Minister may, with the approval of the Treasury, lend to the person carrying on the undertaking such money as appears to the appropriate Minister to be necessary for repairing or replacing the plant so as to enable the undertaking to be carried on.

Terms of
loans, &c.

3.—(1) Any loan made under this Act by the appropriate Minister or a local authority shall be made on such terms as may (subject to the provisions of this section) be fixed by the appropriate Minister with the approval of the Treasury, and, notwithstanding anything in any enactment or other instrument, any local authority

or other person to whom a loan may be made under this Act shall be deemed to have power to borrow the amount of the loan for the purpose for which it is made on the terms so fixed.

(2) Any sums required by the appropriate Minister for the purpose of a loan under this Act shall be paid out of moneys provided by Parliament, and any sums received by the appropriate Minister by way of repayment of a loan under this Act, or by way of interest thereon, shall be paid into the Exchequer.

(3) Any loan made under section one of this Act by the appropriate Minister or a housing authority to any person not being a local authority shall be a charge on the premises in respect of which the loan is made, and the appropriate Minister or housing authority shall, for the purpose of enforcing that charge, have all the same powers and remedies under the Law of Property Act, 1925, and otherwise as if they were mortgagees by deed having powers of sale and lease, powers of accepting surrenders of leases and powers of appointing a receiver. 15 & 16
Geo. 5. c. 20.

(4) Where a loan is made under section two of this Act to a company as defined by section three hundred and eighty of the Companies Act, 1929—

(a) the loan shall be secured by a floating charge on the undertaking of the company created by a debenture in such form and containing such conditions as the appropriate Minister, with the approval of the Treasury, may determine;

19 & 20
Geo. 5. c. 23.

(b) notwithstanding anything in section seventy-nine of that Act—

(i) the said charge shall not be void for want of registration within the twenty-one days mentioned in that section except against a creditor in respect of a debt secured by a charge which is duly registered for the purpose of that section after the end of those twenty-one days and before the date when the first-mentioned charge is so registered; and

(ii) where the said charge is void under the foregoing sub-paragraph, the money secured thereby shall not immediately become payable.

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(5) Where a loan is made under section two of this Act to a person not being such a company as aforesaid or a local authority—

(a) the loan shall be secured by a charge which shall be created and have effect in accordance with the provisions of Part I of the Schedule to this Act;

(b) if the said charge is not registered with the Chief Land Registrar in accordance with regulations made under Part II of that Schedule within twenty-one days after the date of its creation, it shall be void against a creditor in respect of a debt secured by a charge which is duly created by the borrower after the end of the said twenty-one days and before the date when the first-mentioned charge is so registered.

(6) Notwithstanding the provisions of any enactment or other instrument or any rule of law, any charge created in accordance with the provisions of paragraph (a) of either of the last two foregoing subsections shall have priority over any other charge (whenever created) affecting the property comprised therein :

4 & 5 Geo. 5.
c. 59. Provided that nothing in this subsection shall affect the provisions of section thirty-three of the Bankruptcy Act, 1914, or sections seventy-eight or two hundred and sixty-four of the Companies Act, 1929, as amended by any subsequent enactment (which relate to preferential payments in the event of bankruptcy or the appointment of a receiver or winding up of a company).

Inter-
pretation.

4.—(1) In this Act the following expressions have the meanings hereby respectively assigned to them, that is to say—

“appropriate Minister” means, in relation to any building or undertaking, the Secretary of State or other Minister in charge of the Government Department concerned with the purposes for which the building is used or the undertaking is carried on;

“building” includes any land used with a building;

“housing authority” means the council of a county borough, county district or metropolitan borough or the Common Council of the City of London;

“local authority” means the council of a county, county borough, county district or metropolitan borough, or the Common Council of the City of London, or a joint board or joint committee constituted under any enactment to discharge the functions of two or more such councils;

“owner”, in relation to a building, does not include a mortgagee not in possession, but includes a person entitled to the rents and profits of the building under a lease or agreement the unexpired term whereof exceeds three years;

“period of the present emergency” means the period beginning with the date of the passing of this Act and ending with such day as His Majesty may by Order in Council declare to be the date on which the emergency that was the occasion of the passing of this Act came to an end;

“plant” includes works other than buildings;

“war damage” means damage caused by, or in repelling, enemy action or by measures taken to avoid the spreading of the consequences of damage caused by, or in repelling, enemy action.

(2) If any question arises as to who was or is the appropriate Minister in relation to any building or undertaking, the question shall be referred to and determined by the Treasury, whose decision shall for all purposes be final.

5. This Act shall in its application to Scotland have effect subject to the following modifications:— Application to Scotland.

(a) for any reference to the Minister of Health there shall be substituted a reference to the Secretary of State;

(b) for paragraph (iii) of subsection (4) of section one there shall be substituted the following paragraph:—

“(iii) where the works are carried out by the housing authority, the provisions of subsections (2) and (3) of section fifteen of the Housing (Scotland) Act, 1930, and subsection (1) of section eleven of the Housing (Agricultural Population) (Scotland) Act, 1938 (which relate to the recovery of expenses

20 & 21
 Geo. 5. c. 40.
 1 & 2 Geo. 6.
 c. 38.

incurred by an authority under the said section fifteen), shall have effect as if references to the said section fifteen and to a house included respectively references to this subsection and to a building, and as if for any reference to the Department of Health for Scotland in the said section fifteen or in the enactments applied by the said subsection (1) there were substituted a reference to the Secretary of State :

Provided that no demand for expenses incurred in carrying out the said works shall be made under subsection (3) of the said section fifteen, nor shall any charging order in respect of such expenses be made, until the end of the period of the present emergency ” ;

- (c) for subsection (3) of section three there shall be substituted the following subsection :—

“ (3) Where the appropriate Minister or a housing authority have made a loan under section one of this Act to any person, not being a local authority, it shall be competent for that Minister or the housing authority, as the case may be, after the end of the period of the present emergency to make in favour of themselves a charging order charging and burdening the premises in respect of which the loan was made with an annuity to repay the loan in like manner as a local authority may make a charging order in favour of themselves in respect of expenses incurred in the execution of works under section fifteen of the Housing (Scotland) Act, 1930 ; and the provisions of subsection (1) of section eleven of the Housing (Agricultural Population) (Scotland) Act, 1938, shall apply to a charging order made in pursuance of this subsection, subject to the following and any other necessary modifications—

(i) the annuity charged shall be such sum and payable for such term of years as the appropriate Minister, with approval of the Treasury, may fix ; and

(ii) for any reference to the Department of Health for Scotland in the enactments applied by the said subsection (1) there shall be substituted a reference to the Secretary of State.”;

(d) for subsections (4) and (5) of section three there shall be substituted the following subsection—

“(4) Where the appropriate Minister has made a loan under section two of this Act to a person other than a local authority, it shall be competent for the appropriate Minister, after the end of the period of the present emergency, to make in favour of himself a charging order charging and burdening any heritable property in Scotland belonging to the owner of the undertaking and employed by him for the purposes thereof with an annuity to repay the loan in like manner as he may make a charging order in respect of a loan made by him under section one of this Act, and the provisions of subsection (3) of this section shall with any necessary modifications apply accordingly to a charging order made under this subsection ”;

and subsection (6) of section three shall not apply.

(e) in subsection (1) of section four, for the definitions of “ housing authority ”, “ local authority ” and “ owner ”, there shall be substituted respectively the following definitions—

“ ‘ housing authority ’ means a county or town council;

‘ local authority ’ means a county or town council or a joint board or joint committee constituted under any enactment to discharge the functions of two or more such councils;

‘ owner ’, in relation to a building, includes any person who under the Lands Clauses Acts would be enabled to sell and convey the building to the promoters of an undertaking.”

6. Notwithstanding anything in the Government of Ireland Act, 1920, the Parliament of Northern Ireland shall have power to make laws, in respect of matters

Provision
as to
Northern
Ireland.

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10 & 11 exclusively relating to the portion of Ireland within
Geo. 5. c. 67. their jurisdiction or any part thereof, for purposes
 similar to the purposes of this Act.

Short title 7.—(1) This Act may be cited as the Essential
and extent. Buildings and Plant (Repair of War Damage) Act, 1939.

 (2) No provision of this Act, except the provisions
 of the last foregoing section, shall extend to Northern
 Ireland.

SCHEDULE.

PROVISIONS AS TO CHARGES TO SECURE LOANS IN RESPECT OF PLANT (OTHER THAN LOANS TO LOCAL AUTHORITIES AND COMPANIES).

Section 3.

PART I.

CREATION AND EFFECT.

1. The loan shall be secured by a floating charge—
 - (a) in the case of a loan to a body corporate, on the assets for the time being of the body corporate;
 - (b) in any other case, on the assets for the time being invested or employed in the undertaking in respect of which the loan is made;

and any such charge shall, subject to the provisions of this Act, have the like effect as if it had been created by a duly registered debenture issued by a company.

2. The charge shall be created by an instrument in writing in such form and containing such terms as the appropriate Minister, with the approval of the Treasury, may determine, which shall have effect notwithstanding anything in the Bills of Sale Acts, 1878 and 1882, and shall not be deemed to be a bill of sale within the meaning of those Acts.

3. Upon the happening of any event specified in that behalf in the instrument creating the charge, the charge shall become a fixed charge upon the property comprised therein as existing at the date of its becoming a fixed charge, and thereupon the appropriate Minister and the borrower shall have such rights and duties as may be specified in that instrument.

PART II.

REGISTRATION.

The Lord Chancellor may make regulations—

- (a) providing for the registration by the Chief Land Registrar of charges created under this Schedule and the removal of such charges from the register;
- (b) applying to the registration of such charges, with such modifications as appear to be necessary or expedient, any enactment relating to the registration of land charges;

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- (c) providing for the furnishing to any person, on payment of such fee as may be prescribed by the regulations, of a copy of any entry in the register certified to be a true copy by such person as may be so prescribed;
- (d) providing for the manner in which the registration of a charge under the regulations may be proved in any legal proceedings.

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